



DP WORLD

WITHOUT LOGISTICS

Unlocking the hidden value of technology logistics



FORWARD

The technology industry has always thrived on innovation and global reach. Yet the past few years have shown us that even the most advanced companies can be brought to a standstill by fragile supply chains. Logistics disruptions are no longer rare interruptions, they are recurring realities with direct financial, operational and reputational consequences.

What this report makes clear is that logistics is firmly on the boardroom agenda – shaping resilience, customer experience, and long-term growth. The evidence is striking, companies that invest strategically in logistics see shorter recovery times, lower costs, stronger customer retention and a sharper competitive edge.

For the technology sector, the challenge, and the opportunity, is to close the gap between optimism and operational reality. While many executives express confidence in their resilience, the data shows vulnerabilities remain. Bridging this gap will require sustained investment in digitalisation, automation, ESG and strategic partnerships.

This report provides the data, yes, but also the direction. It highlights the risks of inaction, the returns of smart investment, and the decisions that will define the next three years. My hope is that it inspires us to see logistics as a real opportunity for growth, because those who act now will be the ones who set the pace for the industry's future.



ROB CHOY,

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EXECUTIVE SUMMARY

The technology industry is at an inflection point. In an environment defined by disruption, logistics takes a front-line role, driving competitiveness, resilience, customer experience and innovation.

Recent disruptions have exposed the severe financial, operational and reputational consequences of weak supply chains. Between 2022 and 2025, the average incident cost technology firms almost \$1 million¹ and triggered more than a month of operational downtime for 50% of companies. At an industry level, this could signify over \$16 billion in annual losses². With more than 16,000 disruptions a year, the potential for a business' reputation to be impacted is evident. Following logistical disruptions, 87% of firms report an increase in customer complaints, whilst two thirds (66%) report lost business or contracts, logistics has become a boardroom-level concern. Indeed, 88% of technology cargo owners have escalated disruptions to senior decision-making teams over the past three years.

Despite these challenges, technology leaders remain highly optimistic about their resilience. In fact, 92% believe they can scale efficiently over the next 3 years, and 84% agree their operations are agile enough to be able to respond quickly to unexpected future challenges. Yet, the data suggests otherwise. While over half (53%) of firms recovered from major incidents within a month, 41% took longer, revealing a clear disconnect between leadership optimism and operational reality.

Closing this gap requires more than optimism, it demands a strategic shift, one that our research suggests is already underway. When ranking their top three logistics and supply chain priorities, technology cargo owners most often cited improving supply chain cost efficiency (41%) and meeting customer expectations and service levels (41%). The first reflects a drive to reduce revenue loss and manage the complexities caused by unreliable or disruptive suppliers, while the second ties directly to their most common challenge: delays in fulfilment and delivery. Together, these priorities highlight a clear commitment to overcoming service-level issues.

Evidence shows that deeper, more holistic focus and investment in supply chains delivers measurable benefits in resilience and competitiveness. Companies that invest in six or more areas of technology logistics experience, on average, 40% lower logistics disruption costs per year compared to those that invest less³. Similarly, firms that expand investment across their supply chains, covering more than five areas, recover faster, with disruption durations 38% shorter at four weeks than those investing in fewer, who experienced almost seven weeks recovery time⁴. These findings underscore that resilience is not achieved through isolated improvements but through comprehensive, integrated investment strategies.

For the technology sector, logistics strategy must evolve from a defensive function, reacting to crises, to a proactive enabler of business value. Firms that bridge the gap between perception and performance will be best positioned to mitigate risks and safeguard reputation.



¹ This calculation was based on Q5 from our questionnaire – from which the median of each answer option/ bracket was taken, 3rd party research was conducted to find the median for the \$5million+ option. Using this information, the total cost of logistic incidents across all respondents were calculated. We then used Q2 from our questionnaire to calculate the number of individual logistic disruptions that companies experience. The total cost of logistic incidents was then divided by number of disruptions experiences to get an average cost per disruption.

² We drew upon third party research to estimate the number of global disruptions that occur by vertical each year. We used third-party automotive incidents data – linked here - and scaled these numbers to estimate technology incidents using survey ratios. We then multiplied the average cost per disruption – instructions on how to calculate this can be found at footnote 1 – by the global number of disruptions to estimate the overall cost of logistic disruptions worldwide.

³ The total number of logistic investment areas across the survey were calculated for each respondent and were then grouped into buckets based on the number of logistic investment areas (e.g., 0-3, 4-5 etc.). Cost estimates were combined with grouped data to build a dataset showing both the number of investment areas and total cost per year of logistic disruptions. The costs of logistics incidents were adjusted to account for company size and then standardized to the cost for a median-sized company (recognising that more employees typically mean higher costs). The results were then aggregated into buckets according to the number of logistics investments.

⁴ This was calculated by converting Q8 from our questionnaire to a number using the median of the range then we looked at this data against the number of logistic investment areas explained above.

METHODOLOGY

This report is based primarily on survey data from cargo owners across the technology sector, supported where appropriate by verified external sources. The survey captured data on the frequency and financial impact of logistics disruptions, as well as the level of investment made across different logistics areas.

To build the model, cost ranges were converted into single values using midpoints, enabling calculation of both total annual costs and average cost per disruption. These were then linked to other variables such as investment levels, company size, and reported reputational impacts. Correlations were calculated to identify the relationship between investment in specific logistics areas and cost reduction, while also examining how reputational damage compounds financial losses.



HEIGHTENED UNCERTAINTY

The next three years present a period of heightened uncertainty for the technology industry, as external pressures and shifting market dynamics make building resilience across supply chains more urgent than ever.

Geopolitical instability and trade volatility stand out as the most significant future threats, with almost all technology cargo owners (91%) viewing this as the greatest threat to their company in the next three years, with tangible effects already visible. For example, 70% of technology companies report being directly affected by U.S. tariff policies (2018 to 2020 and 2025) and 68% hit by the semiconductor shortage, clear evidence of how global pressures translate into operational and financial strain. With tensions in global trade corridors, escalating sanctions and ongoing conflicts continuing to reshape supply routes, technology firms must prepare for further shocks by building more flexible and diversified logistics networks.

CASE-STUDY

BUILDING RESILIENCE INTO HIGH-TECH SUPPLY CHAINS



THE CHALLENGE

A global security technology provider was struggling with operational inefficiencies due to a fragmented logistics setup. Relying on multiple providers for different legs of the journey introduced delays, miscommunication and rising costs. The lack of visibility and integration across cross-border and domestic logistics made it difficult to manage inventory, meet customer expectations and respond effectively to disruption. These issues threatened both performance and reputation in a market where delivery speed and consistency are vital.

THE RESPONSE

To improve resilience and streamline operations, the company partnered with DP World to implement an end-to-end logistics solution. The multimodal approach connected the company's manufacturing hub in China with last mile delivery across more than 10,000 pin codes in India. Services included freight forwarding, destination handling at DP World's Chennai terminal, rail transport to Bangalore and final delivery managed through DP World's express logistics network. A single-provider model allowed for tighter integration and improved coordination across each stage.

THE RESULTS

The unified logistics strategy reduced time to market by 15% to 20%, improved inventory visibility and enabled faster, more reliable delivery to customers. By consolidating global and domestic flows through one provider, the company also improved cash flow management and strengthened planning accuracy. This case illustrates how integrated logistics partnerships can build resilience, cut costs and support growth even in complex high-risk operating environments.



91% of technology cargo owners

Say that geopolitical instability and trade volatility are the greatest threats to their company's logistics strategies over the next three years.

Volatility is driving heightened board-level attention. Almost nine in ten (88%) firms report escalating disruptions to superior leadership or decision-making teams during a crisis at least once in the past three years. This reflects a significant shift, suggesting logistics is now being recognised as a core pillar of competitiveness and risk management.

Meanwhile, the industry is also bracing for rapid structural transformation. Alongside persistent geopolitical instability, technology companies are under intensifying pressure to meet ESG standards, with 82% expecting compliance demands to grow in importance to investors and customers over the next three years. At the same time, geopolitical bets on rare earth metals are redrawing the supply landscape. China's export controls on rare earth elements and magnets have already forced tech firms to diversify suppliers, invest in recycling, and rethink material usage⁵ - while countries such as Australia, India and Germany are actively positioning themselves to reduce dependence on China and build alternative sources. Against this backdrop, companies are doubling down on technology-led resilience: over the next three years 87% see the greatest ROI from logistics investment coming from supply chain digitisation, and 82% plan to increase spending on digitalisation, automation. These investments are becoming essential, to improve efficiency, but also to strengthen resilience, comply with tightening regulations and future-proof growth strategies.

Technology firms that act decisively, treating logistics as a strategic driver rather than a defensive function, will be best positioned to withstand disruption and protect brand reputation in a volatile global landscape. Those that hesitate risk falling behind peers who invest now in resilience and innovation.



82% of technology cargo owners

Expect ESG compliance pressure from investors and customers to grow over the next three years.



82% of technology cargo owners

plan to increase investment in AI, robotics, automation, and digitalisation over the next three years.

⁵ Breaking China's magnetic grip: Can US and Europe end rare Earth dependence amid new export controls?, The Economic Times, August 2025

THE COST OF INACTION

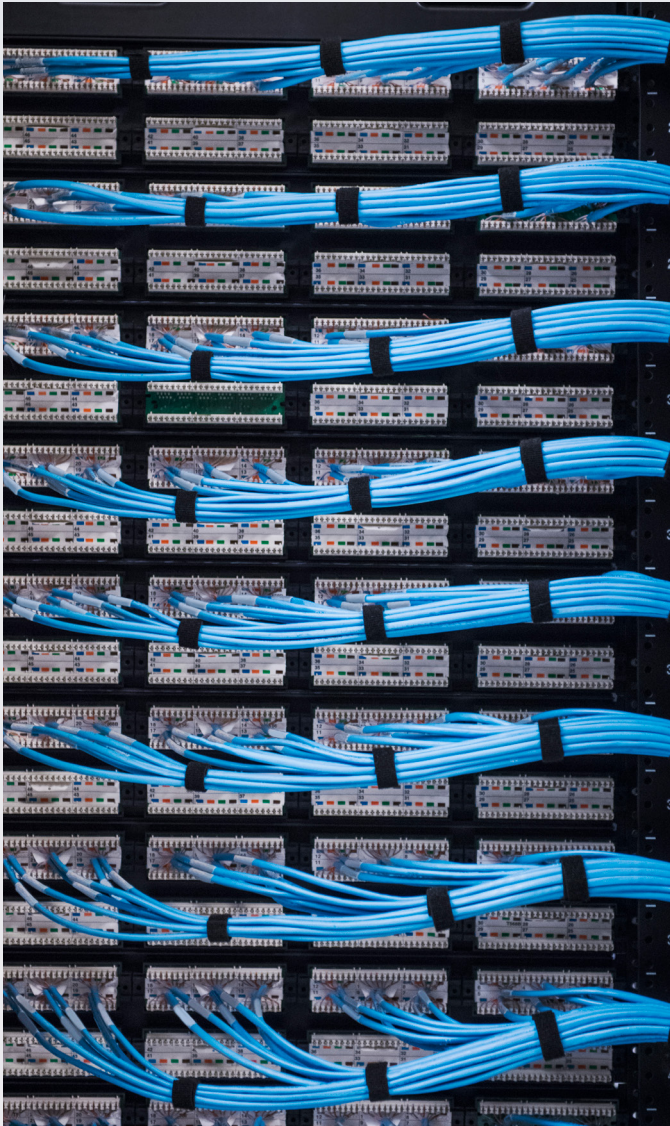
Failing to invest in resilience carries steep financial, operational and reputational risks. Evidence shows that underinvestment weakens supply chains in ways that directly erode margins, productivity, customer trust and brand value.

A third (33%) of firms report annual logistics disruption costs exceeding \$1 million or more, with the most severe cases surpassing \$5 million, large enough to erode profitability and undermine competitiveness in already pressured markets. Half of technology companies (50%) report losing more than a month of productive time in disrupted years, with 17% facing downtime of three to five months. Transit lead times are equally severe, with nearly half of technology cargo owners (47%) reporting lead times stretching by 10% to 25%. Lost time translates directly into missed revenue opportunities and cascading effects across customers and suppliers.

The most pressing pain points remain fulfilment delays (92%), slow disruption response (91%) and limited supply chain visibility (91%). Over one in three firms (38%) now rank “ensuring reliable delivery and minimising disruption” among their top three supply chain priorities, signalling a shift toward tackling the issues most visible to customers and most damaging to performance.

PERCENTAGE OF ALL TECHNOLOGY CARGO OWNERS SAYING THIS IS A CHALLENGE

Delays in fulfilment or customer delivery	92%
Difficulty responding quickly to disruption or change	91%
Limited visibility across the supply chain	91%
Difficulty forecasting or planning with confidence	89%
Customer complaints related to delivery performance	87%
Regulatory or customs complexity	87%
Disruption or unreliability from suppliers	84%
Revenue loss due to supply chain or transport issues	83%
Inability to meet sustainability or emissions goals	83%
A reactive approach to operations or frequent firefighting	74%



The reputational fallout is equally stark, with 87% of technology cargo owners saying disruptions have led to increased customer complaints, 66% report lost business or contracts and 59% acknowledge harm to their brand image. Logistics failures are no longer just operational concerns — they pose front-line risks to customer trust and market share.

Over half of respondents (62%) have escalated logistics disruptions to senior leadership or crisis response teams on multiple occasions in the past three years. If crises consistently demand boardroom attention, then supply chain resilience deserves sustained strategic investment. The cost of delaying logistics investment continues to grow, while the benefits of building resilient, future-ready supply chains are already clear.

THE VALUE OF STRATEGIC INVESTMENT

Strategic investment in supply chains delivers measurable commercial benefits in resilience and competitiveness through reduced incidence cost and duration. Companies that invest across six or more areas of technology logistics report, on average, 40% lower annual disruption costs⁶. Warehousing and storage attract the most funding today, with 45% of technology cargo owners reporting that their organisation invests in this area.

CASE-STUDY

BUILDING RESILIENCE INTO DATA CENTRE FULFILMENT



THE CHALLENGE

A Fortune 100 technology company operating global data centres needed a highly scalable and reliable logistics solution to meet the demands of its mission critical infrastructure. With thousands of unique part numbers for racks, networking gear and spare components, the company faced growing complexity managing part flows across the US and Europe. Fragmented systems and siloed vendors made it difficult to respond quickly to disruption, increasing the risk of downtime in an environment where reliability is essential.

THE RESPONSE

DP World delivered an end-to-end fulfilment and re-supply solution designed for precision and resilience. The model integrated inbound inventory, kitting, fulfilment and last mile delivery into a single controlled system supported by dedicated logistics facilities in key global locations. In-plant services at manufacturing sites ensured accuracy from the start of the supply chain. By consolidating more than 5,000 part numbers and all movement activity within one streamlined operation, the company turned integration into a source of resilience by removing handoff risks and enabling real-time control.

THE RESULTS

The unified system allowed the customer to manage over \$2 billion in inventory across critical markets with full visibility and improved agility. Fulfilment speed and accuracy increased while operational risk decreased. As a result of the program's success, the partnership expanded to cover additional sites in the US and Europe, with DP World now managing the majority of the company's global data centre parts flow. This case shows how investing in logistics integration builds the resilience needed to keep mission critical systems running without interruption.

⁶ See footnote 3.

PERCENTAGE OF ALL TECHNOLOGY CARGO OWNERS WHO SAY THIS IS AN AREA THAT RECEIVES INVESTMENT FROM THEIR ORGANISATION WITHIN LOGISTICS AND OPERATIONS

Warehousing and storage	45%
International freight / shipping	45%
Customs / regulatory compliance	45%
Supply chain or production logistics technology	43%
Risk management / resilience planning	43%
Domestic transport / last mile	37%
Inbound logistics	34%
Sustainability and ESG	30%
Inbound logistics or production input management	30%
Production input planning or factory-level logistics	29%

Risk management and resilience planning stand out as especially effective levers, firms that prioritise investment in this area see disruption costs fall by more than a third (35%)⁷.

Similarly, scaling investment in supply chain logistics and ESG compliance further reduces costs, proving that once baseline capabilities are in place, targeted increases drive disproportionately strong returns⁸.

The commercial impact is direct, with over eight in ten (84%) firms saying logistics improvements have the single greatest effect on customer retention. Almost 8 in 10 Technology cargo owners (79%) report that their delivery performance is their strongest competitive differentiator in their industry. In other words, investment in the supply chain goes beyond delivery – it fuels revenue and market share.



Almost 8 in 10
Technology cargo owners report that their delivery performance is their strongest competitive differentiator in their industry.

Partnerships are also central to resilience. A strong majority (83%) of firms express confidence that their logistics providers can deliver on reliability, responsiveness, scalability and crisis support. Freight forwarding is the most widely used service (58%), followed by supply chain technology (52%) and sea transport (48%). These figures show that trust in logistics partners is a cornerstone of risk management and continuity planning.

⁷ Taking each option from Q15 data in our questionnaire – we calculated the average cost of logistics disruption for those who selected that they did invest in this area vs. those who didn't select it. We then used these results to calculate the % decrease for both groups. The top 3-4 areas of investment to make were then isolated.

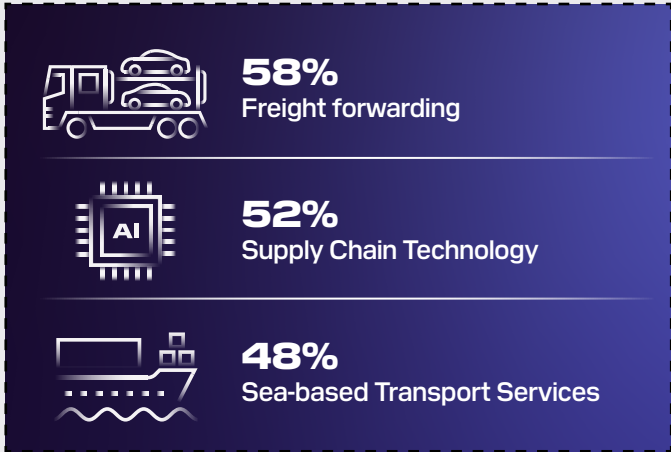
⁸ See footnote 7.



PERCENTAGE TOTAL TECHNOLOGY CARGO OWNERS WHO HAVE USED EACH TYPE OF SERVICE TO RECOVER FROM DISRUPTIONS

Freight Forwarding	58%
Supply Chain Technology	52%
Sea-based Transport Services	48%
Land-based Transport Services	46%
Contract Logistics	46%
Customs Brokerage & Trade Facilitation	43%
Ports & Terminals	34%
Origin Services	26%
Market Access Services	22%

MOST-USED RECOVERY SERVICES



Looking ahead, ESG and digitalisation are reshaping investment priorities. Over four in five (82%) technology companies expect ESG compliance in logistics to grow in importance, making sustainable practices essential to maintaining license to operate. At the same time, 82% anticipate their organisation will increase investment in AI, robotics, digitalisation and automation in the next three years, reflecting the recognition that digital capabilities are now central to agility and competitiveness.

Taken together, these findings confirm that strategic investment - whether in budgets, technology, sustainability, or partnerships - has become a board-level growth driver, reducing risk while future-proofing performance.

THE DISCONNECT

However, a persistent gap exists between how senior leadership perceives logistics performance and how it is experienced on the ground. This disconnect has direct implications for investment priorities, resilience and long-term competitiveness.

Most leaders project confidence, with 92% agreeing that they are confident in their ability to scale efficiently over the next 3 years, and 84% saying their operations are agile enough to respond quickly to unexpected changes. Yet operational evidence tells a different story. Extended downtimes and escalating costs suggest that confidence rests more on perception than on measured performance.

The misalignment is most visible in investment decisions. Despite acknowledging the strategic importance of logistics, only around one-third of cargo owners report receiving funding for production input planning or factory-level logistics (29%) or inbound logistics or product input management (30%) - areas where challenges remain acute. In short, two-thirds of firms are underfunding the very pain points that most disrupt performance.

PERCENTAGE OF ALL TECHNOLOGY CARGO OWNERS WHO SAY THIS IS AN AREA THAT RECEIVES INVESTMENT FROM THEIR ORGANISATION WITHIN LOGISTICS AND OPERATIONS

Warehousing and storage	45%
International freight / shipping	45%
Customs / regulatory compliance	45%
Supply chain or production logistics technology	43%
Risk management / resilience planning	43%
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Inbound logistics	34%
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This disconnect between boardroom optimism and frontline reality risks leaving critical vulnerabilities unresolved. Bridging the gap requires clearer evidence and stronger communication - robust data that demonstrates where targeted investment delivers the greatest impact. Only by aligning perception with reality can firms secure the resources needed to build true resilience.

IMPLICATIONS AND RECOMMENDATIONS

Logistics has moved decisively from an undervalued function to a strategic driver of resilience. Underinvestment today will create vulnerabilities that surface tomorrow, in the form of financial losses, operational downtime, declining customer confidence and reputational harm.

The data makes it clear that logistics is about efficiency, yes, but that it is also a value-creating capability. Targeted investment lowers risk exposure while unlocking long-term performance gains. Yet the supply chain typically reaches the board agenda only in moments of crisis. Waiting until disruption strikes is too costly.

Embedding logistics into core strategic planning is now essential. It should carry the same weight as financial management and market expansion - safeguarding revenue, protecting brand equity and sustaining customer trust in an increasingly volatile global environment.

The next three years represent a decisive turning point. Choices around resilience, ESG integration, digitalisation and strategic partnerships will determine which companies thrive and which fall behind. Those who invest proactively will mitigate disruption and seize new opportunities for growth. Inaction will always cost more than investment. The companies that strengthen their technology and logistics now will be the ones that lead.





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